MODULE 12 · AMBITIOUS ENTREPRENEURSHIP

Fundraising & Demo Day

Can you tell the story, and show the money?

COURSE PATH



COURSE MATERIAL · SCAN NOW

All slides live on GitHub

The newest version, free, no account needed

github.com/BaNburger/
AmbitiousEntrepreneurship

1. **Open the link**
   github.com/BaNburger/AmbitiousEntrepreneurship
2. **Go to modules**
   then 12-fundraising-demo-day
3. **Click the lecture PDF**
   M12_Lecture_Fundraising-Demo-Day.pdf, download top right

Public course repository of Ambitious Entrepreneurship. The QR code opens github.com/BaNburger/AmbitiousEntrepreneurship.

WHERE WE ARE · THE COURSE

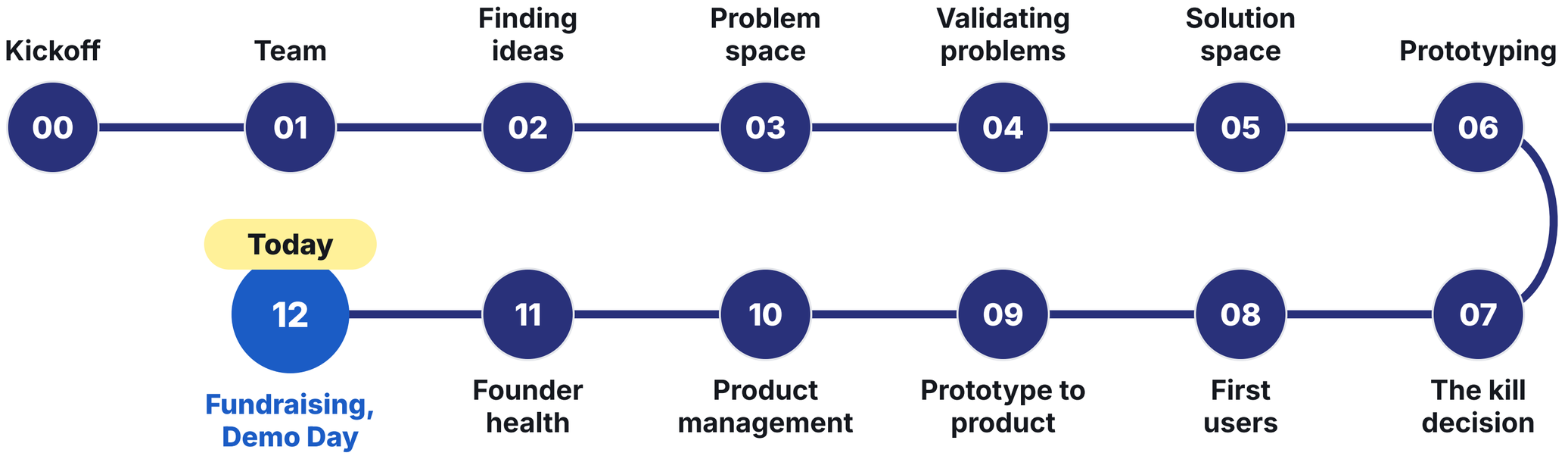
The last step is to show the money

Thirteen sessions from first idea to first revenue. What teams have by now:

Revenue you can prove
Prototype to product (M09)

A North Star and its drivers
Product management (M10)

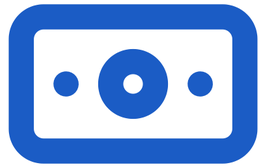
Ten pitch slides, drafted ugly
Founder health (M11)



CHECK-IN · SHOW OF HANDS

What's your revenue number?

1. Revenue from outside your social graph, so far
2. Paying customers
3. Your biggest win

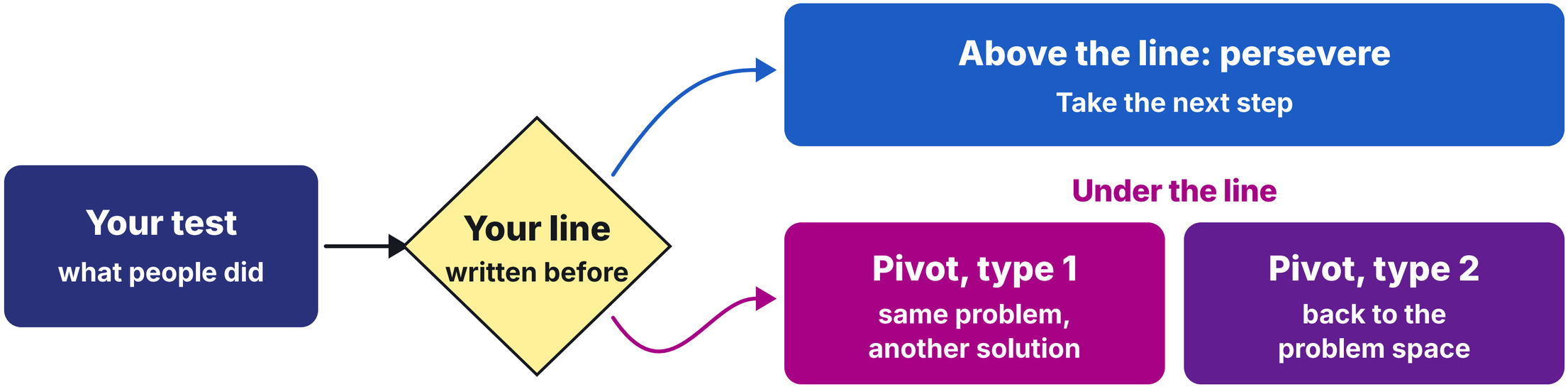


2:00

PIVOT OR PERSEVERE

Under your line? That is a decision, not a failure

Your last test: your revenue against your line



Both are progress. The only miss: no line, so no decision

FRAMEWORK Pivot or persevere after Ries, E. (2011), The Lean Startup. Pivot types as in the course Glossary.

NEW HERE, OR MISSED A MODULE?

Seven words this deck assumes

Social graph	People you knew before this venture. Their money does not count (rubric)
Kill line	A count, a date and what you then do, written before the data comes in. From The kill decision (M07)
Company line	The kill line for the whole company, in your Kill Criteria Log. Write yours, or take ours from the homework
Evidence pack	Your Student Toolkit, with the proof of each payment
Verdict sheet	Where your team writes Go, Pivot or Kill with its evidence. From The kill decision (M07)
Five-year hypothesis	Your bet on how the world looks in five years. From Finding ideas (M02)
North Star	The one number that counts the value paying customers get. From Product management (M10)

CHAPTER 1 OF 10

Previously on Ambitious Entrepreneurship

Where twelve modules took you, and what still matters at Demo Day.

01 **Previously on Ambitious Entrepreneurship**
02 Your presentations
03 **Size it: who funds the tail**
04 **Grow it: how big can it get?**
05 **Fund it: raise or don't**
06 **Pitch it: proof beats promises**
07 **Steer it: after Demo Day**
08 Wrap-up and check-out
09 Case discussion
10 Demo Day: pitch on proof, then decide

PREVIOUSLY · PRODUCT MANAGEMENT (M10)

Two stages behind you. Now the growth phase

Problem space

Outcomes

Team committed
for full-time work

Team completed by all
necessary disciplines

Founders agree on hard and
soft facts about funding

Agreement on an
interesting problem space

Solution space

Outcomes

A fundable business with a clear
business plan for the next 12 months

Paid pilot customers with
completely conducted projects

Validated value proposition
with real customers

Clear setup around team,
processes, idea and more

Growth phase

Outcomes

Business gets progressively
de-risked and starts turning profits

Fundable through
Series A and B rounds

Self-sufficient business
at each funding round

Gut feeling gets replaced
by data in daily operations

PREVIOUSLY · FOUNDER HEALTH (M11)

You first, then the people, the product, the profits

In that order.



> TODAY **Can you tell the story, and show the money?**

FRAMEWORK Founder health (M11) figure, adapted from Horowitz, B. (2014). *The hard thing about hard things*. HarperCollins.

CHAPTER 2 OF 10

Your presentations

Three minutes per team on revenue you can prove, and your biggest win.

01 ~~Previously on Ambitious Entrepreneurship~~
02 **Your presentations**
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YOUR PRESENTATIONS · THE REVENUE BOARD

Show us where you're at in 3 minutes or less!

3:00

Facts

Your venture

North Star and its number

Your pipeline founder

Scary bits you put first

12 Numbers

Revenue with proof

Outside your social graph

Against €2,000 and €5,000

Quotes

A paying customer

Word for word

With their role

Images

Proof and draft

Dashboard or invoices, cropped

Your ugly pitch draft

Nothing about the maps, the stop lines or how anyone is doing

What did you do?

What did you learn?

How can we help?

INPUT 1 OF 5 · CHAPTER 3 OF 10

Size it: who funds the tail

Why venture capital only funds companies that could return the whole fund.

01 ~~Previously on Ambitious Entrepreneurship~~
02 ~~Your presentations~~
03 **Size it: who funds the tail**
04 **Grow it: how big can it get?**
05 **Fund it: raise or don't**
06 **Pitch it: proof beats promises**
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INPUT 1 OF 5 · SIZE IT · THREE QUESTIONS

Who will fund you?

1

What do investors fund?

2

What do they ask of every company?

3

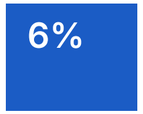
How predictable is success?

WHY INVESTORS CARE · FROM TEAM (M01)

Investors fund the tail, not the average

6% of deals made 60% of the returns

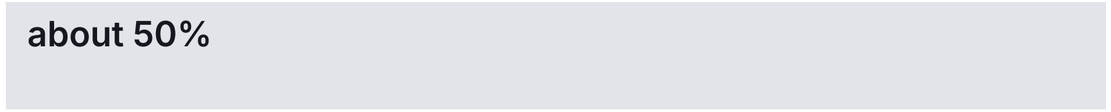
Deals that returned 10× or more · share of all deals



What those deals returned · share of all returns



Deals that returned less than they cost · about half



DATA Evans, B. (2016). *In praise of failure*. Horsley Bridge data, about 7,000 VC investments, 1985 to 2014. Bars to scale. Re-shown from Team (M01).

FUND ARITHMETIC

Investors ask one thing. Could this return the fund?

Illustrative arithmetic for a €100m fund

A €100m fund wants back at least €100m

It owns 10% of a company when it sells

That company must be worth €1bn to return the fund alone

RESEARCH **"The probabilities of success are low, extremely skewed, and unknowable until an investment is made"**

ILLUSTRATIVE Arithmetic illustrative. The question is Bastian's. Quote from Kerr, W. R., Nanda, R., & Rhodes-Kropf, M. (2014). Entrepreneurship as experimentation. *Journal of Economic Perspectives, 28*(3).

GATE QUESTION · HANDS

Could your company return a whole fund?

1 Yes, no or don't know



1:00

INPUT 1 OF 5 · SIZE IT · THE ANSWERS

Size it: investors fund the tail

1

What do investors fund?

The tail, not the average: 6% of deals made 60% of the returns

2

What do they ask of every company?

Could this return the whole fund?

3

How predictable is success?

Low, extremely skewed and unknowable until you invest, the research says

INPUT 2 OF 5 · CHAPTER 4 OF 10

Grow it: how big can it get?

Why founders in small markets build for the world, and how you start.

01 ~~Previously on Ambitious Entrepreneurship~~
02 ~~Your presentations~~
03 ~~Size it: who funds the tail~~
04 **Grow it: how big can it get?**
05 **Fund it: raise or don't**
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INPUT 2 OF 5 · GROW IT · THREE QUESTIONS

How big can it get?

1

Why do founders from small countries go global?

2

Why is a big home market a risk?

3

How do you start?

HOME MARKETS

Ten million people can't carry a software giant

Population 2025, to scale



India

17.8%
of the world's people

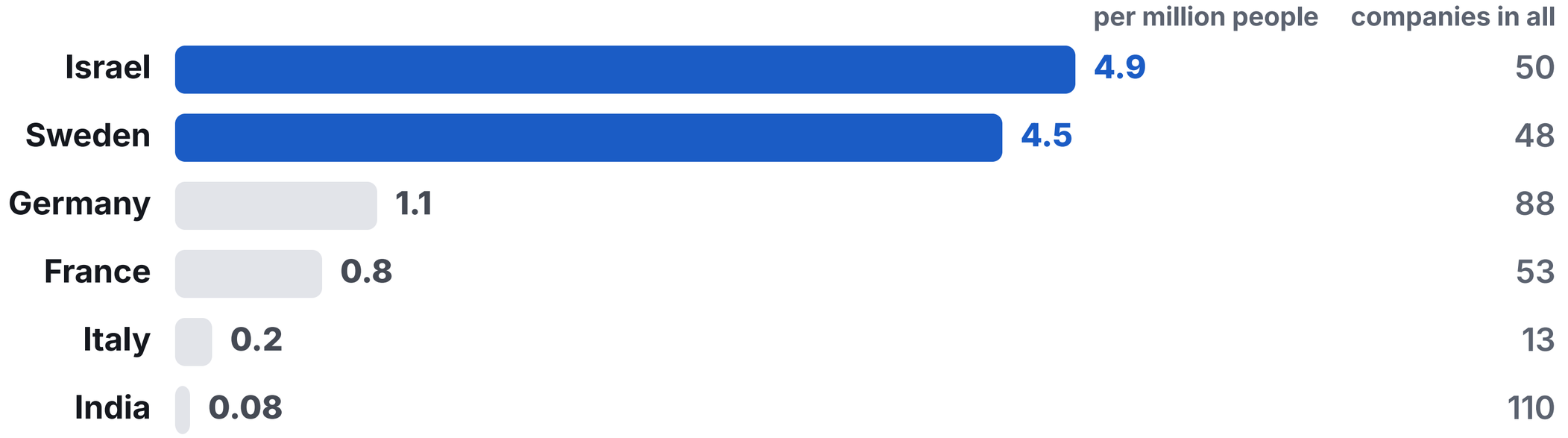
1.7%
of its software spend

DATA World Bank, population 2025 (SP.POP.TOTL). Gartner (2025, November 18; 2026, February 3), software spending 2025, India USD 21.0 bn of USD 1,249.5 bn. The conclusion is Bastian's view.

OUTPUT PER HEAD

Per head, Sweden and Israel build four times what Germany does

Companies that reached USD 1 bn, per million people. The gap depends on the list

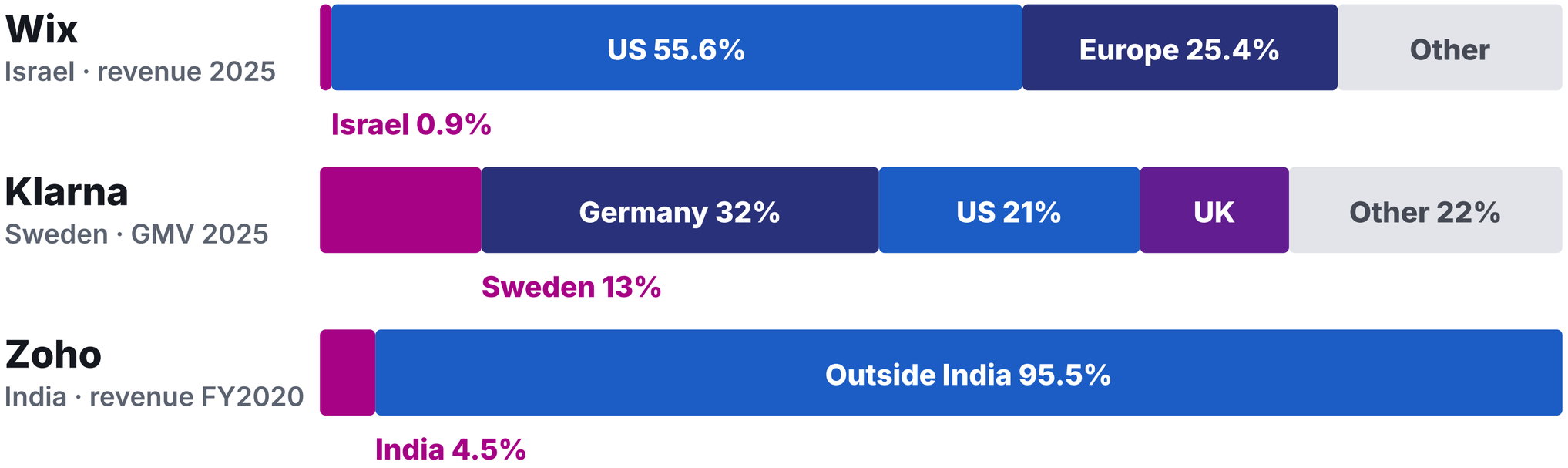


DATA Dealroom country lists, "updated October 2026", companies headquartered there that reached a verified USD 1 bn, listed companies included. Per million with World Bank 2025 population. Bars to scale.

THREE MINI CASES

Home is a small share of their sales

Share from the home country in magenta, to scale



DATA Wix.com 20-F 2025, revenue by customer location. Klarna Group 20-F 2025, GMV by market. Entrackr (2021) on Zoho's FY2020 filings, revenue booked in India. Metrics differ per company. Bars to scale. Bonus cases Wix, Klarna and Zoho.

THE GOLDEN CAGE

A big home market is a golden cage

Comfortable for years, then the ceiling

78%

of German startups' revenue is earned at home

Deutscher Startup Monitor 2023

40 of 147

European unicorns of 2008 to 2021 moved their headquarters abroad

Draghi report 2024, mostly to the US

BASTIAN'S VIEW **A pattern in six countries, not a law. Draghi names US capital and a bigger market as the pull**

DATA Startup-Verband and PwC (2023), Deutscher Startup Monitor, revenue by market. Draghi, M. (2024), *The future of European competitiveness*, Part A. The cage is Bastian's view.

WHEN TO GO

Design global, launch one market at a time

The US came years after launch, to scale



INDEX VENTURES **60% of European founders had the US in their top three markets before they expanded there**

DATA Sawers, P. (2011, July 14). Spotify, the story so far. *The Next Web*. DeepL (2024, February 22), first US office, US its third-largest market. Index Ventures (2025). *Winning in the US*. Research, early entry goes with faster international growth (Autio, Sapienza & Almeida, 2000), survival needs a strategy that fits (Mudambi & Zahra, 2007, 275 UK firms).

DAY ONE

Plan five things from day one

Cheap now, expensive later



Docs, contracts, chat 54% of German tech startups already do

No euros, German or German dates baked into the product

One paying customer in a second country, early

Often a Delaware company, formed at the first US hire

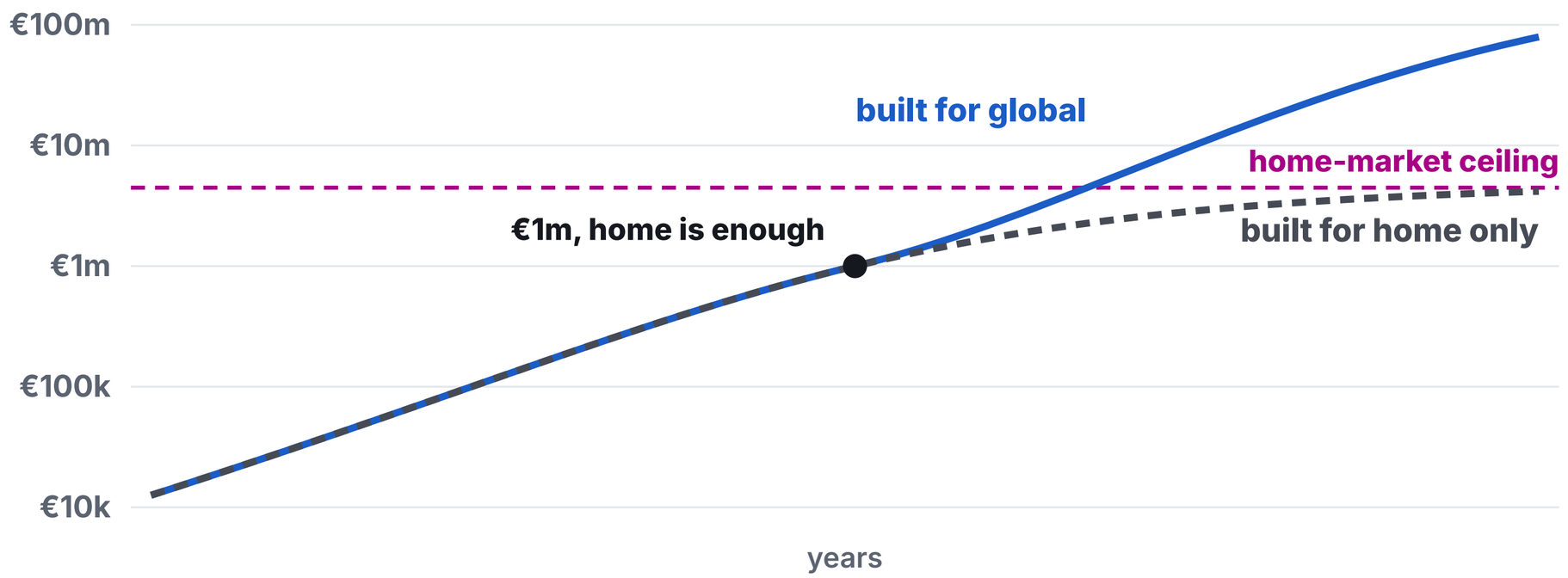
One founder owns the second market

DATA Bitkom (2023), Startup Report, 203 German tech startups. Index Ventures (2025), *Winning in the US*. Items 2 and 3 are Bastian's (2026-10-20).

THE TRAJECTORY

Home carries the first €1m, not the next tenfold

Revenue on a log scale. Not a scientific chart



ILLUSTRATIVE Bastian's view (2026-10-20). Curves and ceiling are illustrative, after the log chart of Kickoff (M00).

NOW YOU · AS A TEAM · 4 MINUTES

Pick your second market today

! YOUR SECOND MARKET

One country, five names, one fix

Like this made-up team: "The Netherlands. Same pain, card payments, call booked for Thursday."

→ Name the country where your problem costs most
→ Find five people there who have it, by name
→ List what breaks there: language, currency, law, payment
→ Book one conversation abroad before Demo Day

Output A country, five names, one thing to fix

Minutes 4

4:00

INPUT 2 OF 5 · GROW IT · THE ANSWERS

Grow it: design global, launch at home

1

Why do founders from small countries go global?

Ten million people can't carry a software giant

2

Why is a big home market a risk?

It is a golden cage: comfortable for years, then the ceiling

3

How do you start?

Design global, launch one market at a time, plan five things from day one

INPUT 3 OF 5 · CHAPTER 5 OF 10

Fund it: raise or don't

Which money fits the company you want to build, and when to take it.

01 ~~Previously on Ambitious Entrepreneurship~~
02 ~~Your presentations~~
03 ~~Size it: who funds the tail~~
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INPUT 3 OF 5 · FUND IT · THREE QUESTIONS

Do you need investors at all?

1

What is the first question?

2

Which money fits?

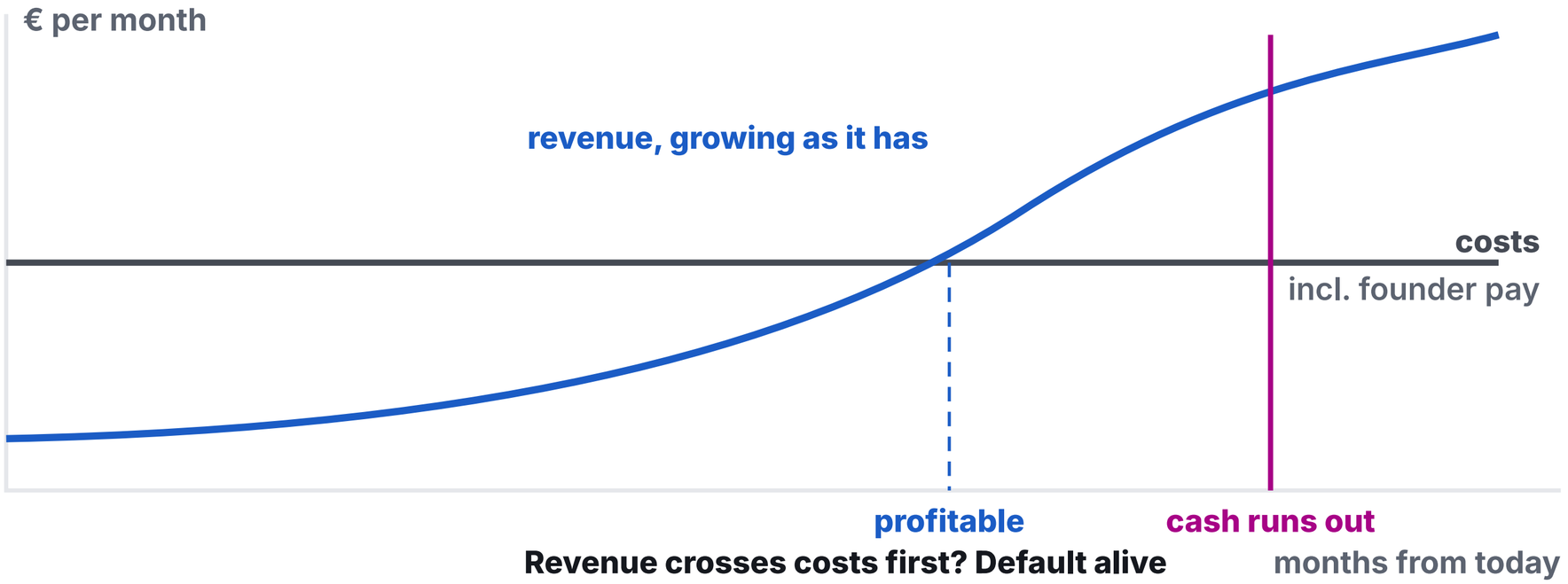
3

What protects you now?

THE FIRST QUESTION

Default alive or default dead?

Will revenue cover your costs before the cash runs out?



NOW YOU · ALONE OR AS A TEAM · 3 MINUTES

Work out yours in three minutes

! DEFAULT ALIVE

Three numbers, one answer

From your Pipeline and your bank account

→ Costs a month, with the pay you need
→ Cash today
→ Revenue a month, and its growth over three months

Output Alive or dead, and the month revenue meets costs

Minutes 3

our team · default alive, month by month

D9 *fx* =D8−C9+B9

Costs, with pay	Cash today	Revenue a month	Growth a month
€5,000	€10,000	€2,000	30%

Month	Revenue, +30%	Costs	Cash: last − costs + revenue
1	€2,000	€5,000	€7,000
2	€2,600	€5,000	€4,600
3	€3,380	€5,000	€2,980
4	€4,394	€5,000	€2,374 lowest
5	€5,712	€5,000	€3,086
6	€7,426	€5,000	€5,512

Default alive Revenue meets costs in month 5, before the cash runs out

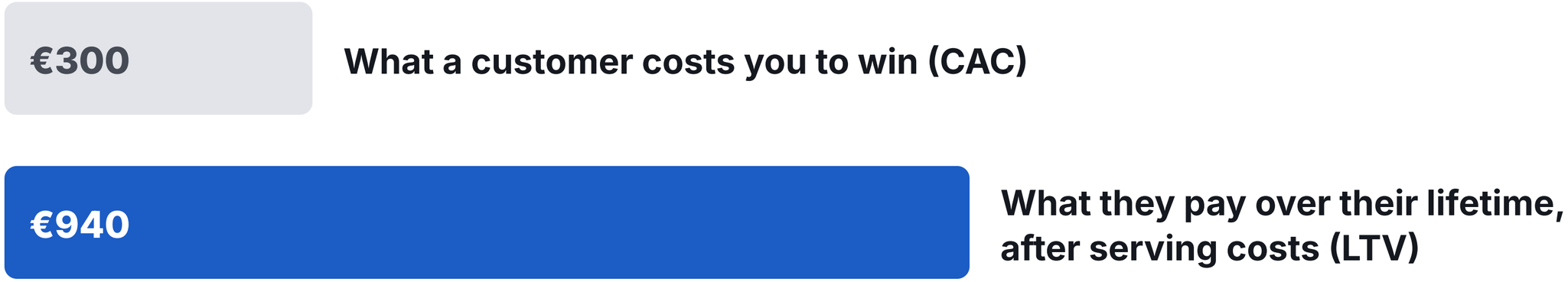
3:00

ILLUSTRATIVE Graham (2015), worked month by month in a sheet prototyped for this course, with the example of the Default Alive Calculator.

UNIT ECONOMICS

Growth pays when a customer returns three times its cost

Rules of thumb, not laws



Payback, the months until a customer has paid back their CAC: under 12

Made-up example in € per customer, bars to scale. €300 to win a practice, €49 a month, 80% margin, 24 months. LTV €940, about 3×. Payback 8 months

SOURCES OF MONEY

Pick the money that fits the company you want

Raise from strength, never to survive



From a lab? EXIST funds founders from science and research

Funding stages and sources. Raise from strength after Graham (2015). EXIST from exist.de (2026).

DURING A RAISE

One founder raises, the others keep selling

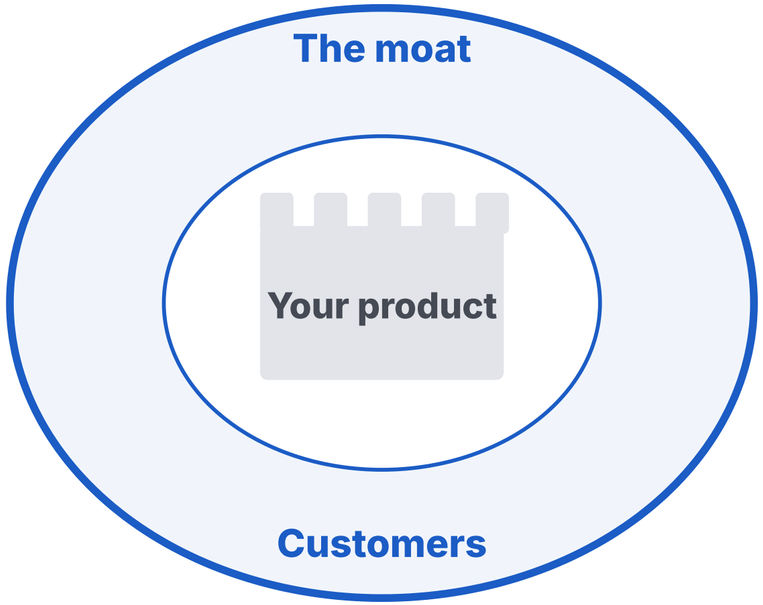
Metrics that drop during a raise can kill the deal

	FOUNDER 1 RAISES	THE OTHERS SELL
9:00	Alignment	Alignment
10:00	Investor call	Customer call
11:00	Investor call	Customer call
14:00	Investor call	Build and ship
15:00	Investor call	Customer call
17:00	Investor call	Document learnings

MOATS NOW

Code is no longer a moat. Customers are

In software, a patent counts once customers exist



Growing

Distribution
How you reach customers at scale

Network effects and data
Assets that grow with use

Brand and trust
Years to build

Licences and regulation
Approvals others lack

Wearing thin

~~**Code and speed**~~
AI writes it, clones in weeks

~~**Feature parity**~~
Everyone ships in days

Deep tech? File patents in the same weeks as your customer talks

Old and new moats, Bastian's view. Software founders rate patents least important of all sectors (Graham et al., 2009, 1,332 companies).

OPTIONAL · WHEN YOU RAISE

Valuation decides how much of your company you sell

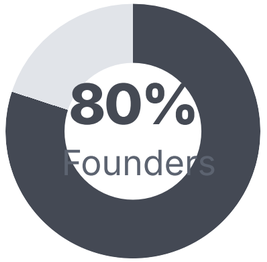
Ownership = investment ÷ post-money

Pre-money, what the company is worth before the money comes in.

Post-money, pre-money plus the new money.

What drives it: team, market, traction, moat, the market mood and your leverage.





Pre-money	€4m
Investment	€1m
Post-money	€5m
Investor owns	1 ÷ 5 = 20%

OPTIONAL · WHEN YOU RAISE

Know these five terms before you sign

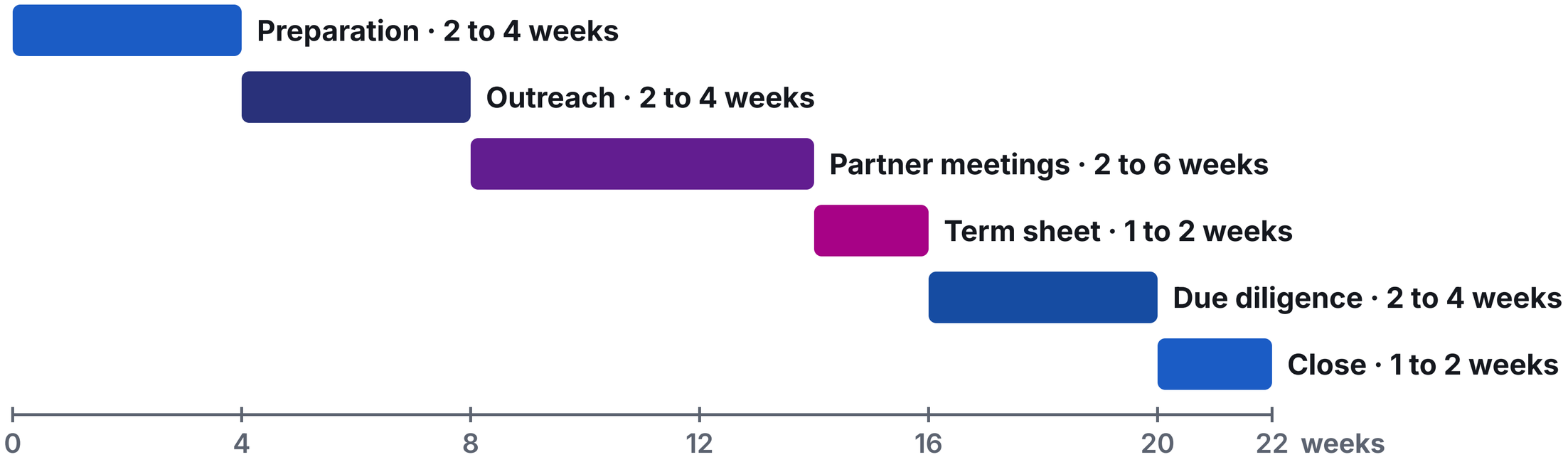
Five of the twelve on a typical term sheet. Get a startup lawyer

Liquidation preference	1× non-participating is standard. Avoid 2× or participating
Anti-dilution	Weighted average is fair. Full ratchet is harsh
Option pool	Negotiate whether it comes out of the pre-money
Board	Aim for a founder majority early
Vesting	Four years with a one-year cliff is common

OPTIONAL · WHEN YOU RAISE

Plan four to six months for a raise

10 to 22 weeks, longest stage drawn



OPTIONAL · WHEN YOU RAISE

Eight ways founders botch a raise

1 **Raising too early**

2 **Raising too much or too little**

3 **A slow process**

4 **Not knowing your numbers**

5 **Ignoring investor fit**

6 **Weak storytelling**

7 **No relationships before you raise**

8 **Neglecting the business while raising**

INPUT 3 OF 5 · FUND IT · THE ANSWERS

Fund it: raise from strength, never to survive

1

What is the first question?

Default alive or dead? Burn, cash and growth tell you

2

Which money fits?

Customers' money first. Raise from strength, never to survive

3

What protects you now?

Not code. Distribution, network effects and data, brand and trust

INPUT 4 OF 5 · CHAPTER 6 OF 10

Pitch it: proof beats promises

What makes five minutes convincing when every team already has a deck.

01 ~~Previously on Ambitious Entrepreneurship~~
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INPUT 4 OF 5 · PITCH IT · THREE QUESTIONS

What makes five minutes convincing?

1

What makes a good pitch?

2

How do you open?

3

What carries it?

THE SEQUOIA ORDER · RE-SHOWN FROM KICKOFF (M00)

You hold the ten slides. Now prove them

1 Company purpose

2 **Problem** — In your customer's words

3 Solution

4 **Why now?** — Your five-year bet

5 Market potential

6 Competition

7 Business model

8 Team

9 **Financials** — Verified revenue

10 Vision

\+ Roadmap

A GOOD PITCH

A good pitch is legible, simple and obvious

1 **Legible slides.** Even people with bad sight and no idea of your business can read them

2 **Simple ideas.** Understood by people with no clue about your technology

3 **Obvious conclusions.** Everyone nods at the end

PITCH TIP 1 OF 2

Open with the problem in your customer's words

Let them feel the pain, then show the size

FROM

"We built an AI-powered booking platform for healthcare."

TO

"I spend two evenings a week calling patients back." A practice owner, one of 52 who now pay us

Date	Role	Notable quote
12 March	Practice owner, 6 staff	"I spend two evenings a week calling patients back."

PITCH TIP 2 OF 2

Why now is your bet on the world in five years

From your Finding ideas (M02) hypothesis

SEQUOIA ASKS

"Nature hates a vacuum—so why hasn't your solution been built before now?"

YOU ANSWER

Your hypothesis about the world in five years, and the customers who already live there

FIVE MINUTES, TEN SLIDES

Proof beats promises

1 number

The one that shows people want this. Write it down now.

Like "50 of 52 practices still pay after month one"

DEMO DAY BRIEFING

Demo Day runs on proof

The jury looks for evidence, decisions, verified revenue and a story that survives questions

10'

Proof on screen

Deck, dashboard or invoices, one number

50'

Pitch on proof

5 minutes pitch, 5 minutes questions per team

30'

Decide what comes next

Verdict drafted, meeting booked, group date

Demo Day minimum. €2,000 verified minimum + evidence pack. The €10,000 club is open.

SOLO? **Hold Step 3 with a mentor**

INPUT 4 OF 5 · PITCH IT · THE ANSWERS

Pitch it: proof beats promises

1

What makes a good pitch?

Legible slides, simple ideas, obvious conclusions

2

How do you open?

With the problem in your customer's words, then its size

3

What carries it?

One number that shows people want this, and proof on screen

INPUT 5 OF 5 · CHAPTER 7 OF 10

Steer it: after Demo Day

Decide on the company with the whole course's evidence, then keep going.

01 ~~Previously on Ambitious Entrepreneurship~~
02 ~~Your presentations~~
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04 ~~Grow it: how big can it get?~~
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INPUT 5 OF 5 · STEER IT · THREE QUESTIONS

What happens after Demo Day?

1

How do you decide what comes next?

2

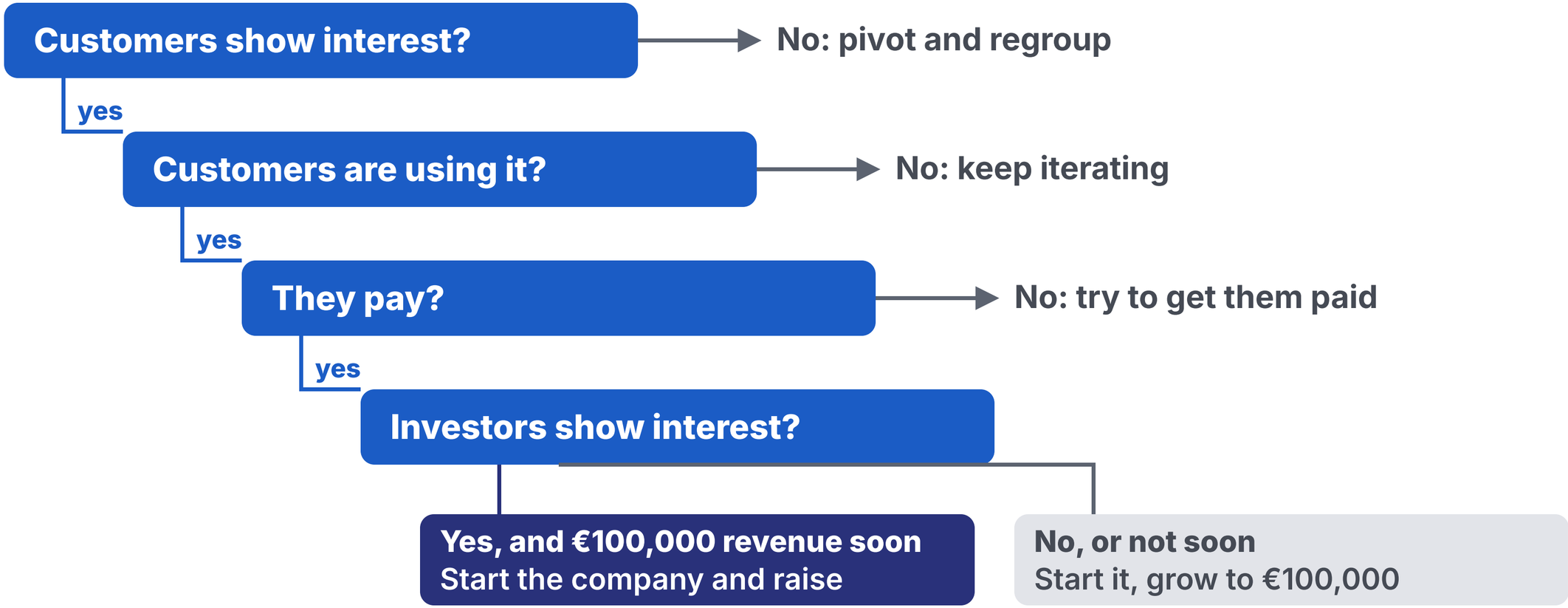
If you go on, what do you settle?

3

What keeps you selling?

WHERE TO GO FROM HERE?

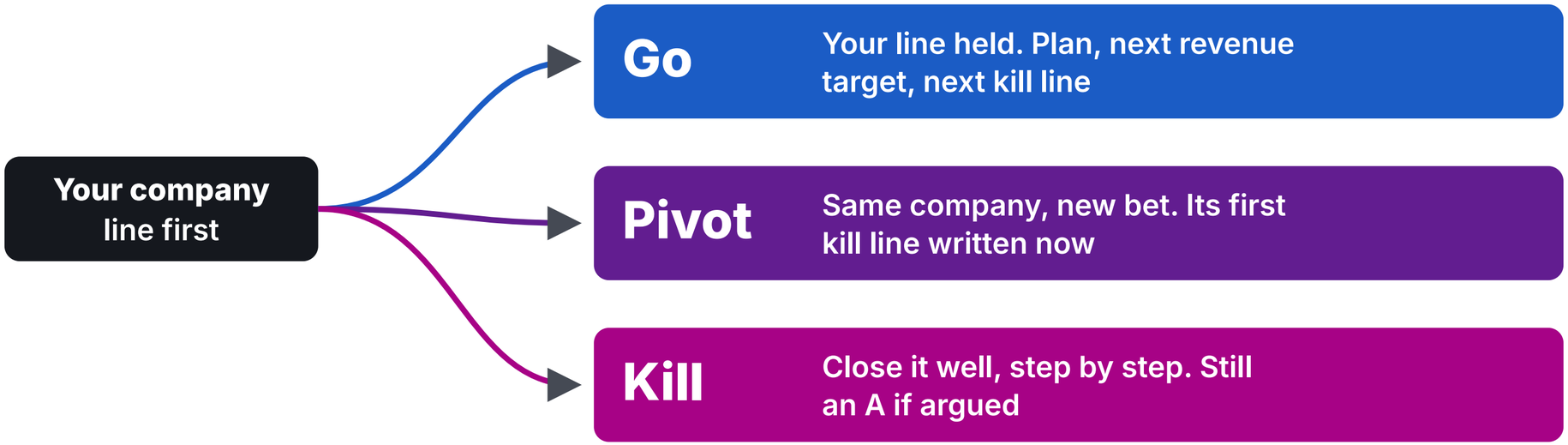
You took the first step. Now keep going



THE VERDICT

Go, pivot or kill, on the whole course's evidence

Your company line, the kill line you wrote for the company, decides first



VERDICT SHEET **Provisional on Demo Day, confirmed within seven days**

GOING ON?

Settle who does what and who owns what

Written in your Team sheet, every founder's yes

Team sheet · Agreement	Made up
Who does what, with how much time	**Lena sells, Tom builds, both full time until March**
Next revenue target	**€20,000 by 1 March**
Next kill line	**Under €20,000 by 1 March, we stop**
Who owns code, brand, money	**Repo, domain and accounts in the company's name**
Next outside meeting	**Angel call, Tuesday**
Group, next date	**The 14th**

ILLUSTRATIVE Made-up team, as in the homework and the Demo Day guide. Team sheet rows from Team (M01).

AFTER THE COURSE

Keep your group. It keeps you selling

Numbers every week, a meeting every two weeks. No group? Start one with two other teams

Day 1

Meet, 45 minutes at most

3 to 7 teams at your pace

Day 1

One two-week goal per team

Learning, revenue, lasting value

Day 7

Share your numbers

Every week

Day 14

Target against actual

Candid. Hit every goal? Set bigger ones

BEFORE YOU LEAVE

Who is your next outside meeting with?

1 A name and a date



1:00

INPUT 5 OF 5 · STEER IT · THE ANSWERS

Steer it: decide on evidence, then keep going

1

How do you decide what comes next?

Go, pivot or kill on the whole course's evidence. Your company line first

2

If you go on, what do you settle?

Who does what and owns what, the next revenue target and kill line

3

What keeps you selling?

Your group: numbers every week, a meeting every two weeks

CHAPTER 8 OF 10

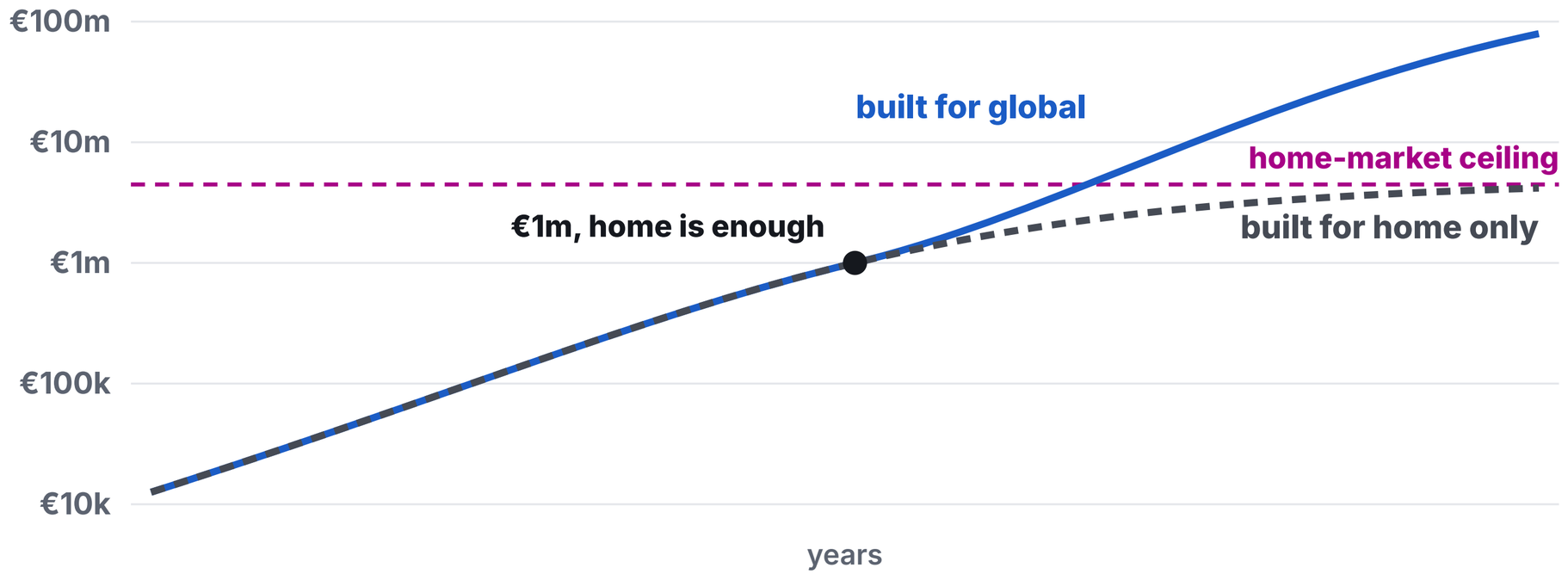
Wrap-up and check-out

Two pictures to keep, three reflections and your homework.

01 ~~Previously on Ambitious Entrepreneurship~~
02 ~~Your presentations~~
03 ~~Size it: who funds the tail~~
04 ~~Grow it: how big can it get?~~
05 ~~Fund it: raise or don't~~
06 ~~Pitch it: proof beats promises~~
07 ~~Steer it: after Demo Day~~
08 **Wrap-up and check-out**
09 Case discussion
10 Demo Day: pitch on proof, then decide

RECAP · PICTURE 1 OF 2

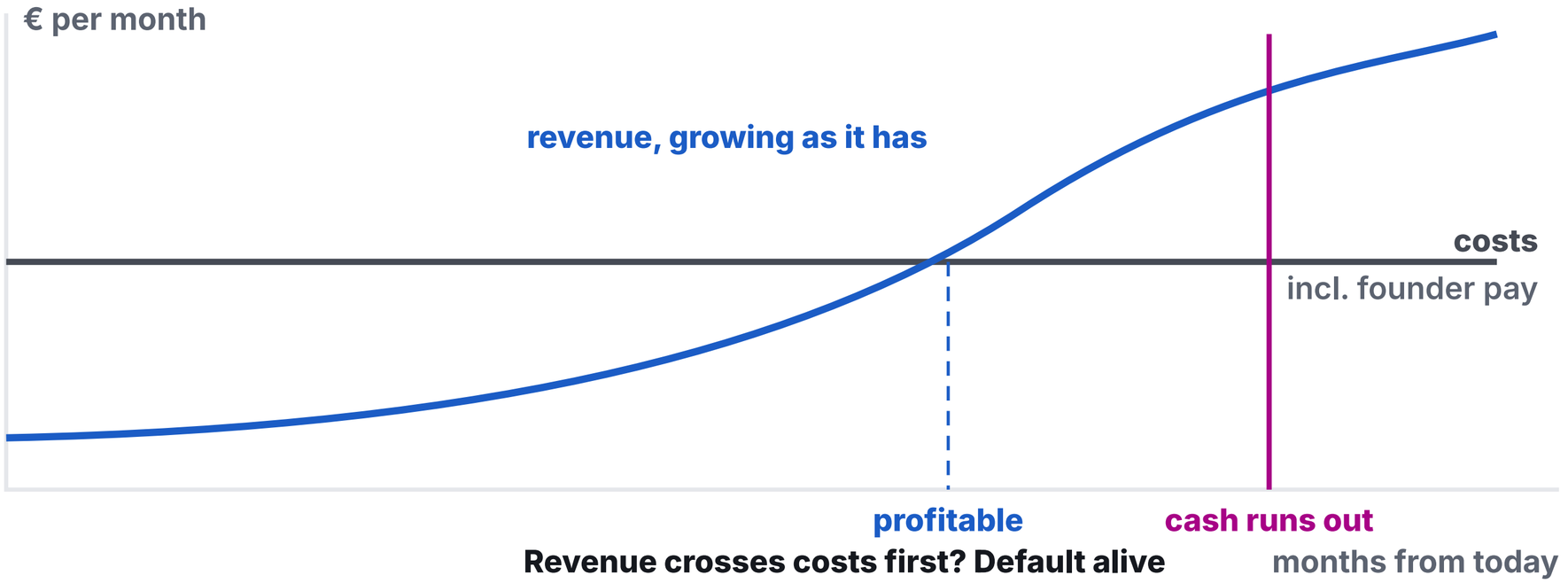
Home carries the first €1m, not the next tenfold



ILLUSTRATIVE Bastian's view. Re-shown from Grow it.

RECAP · PICTURE 2 OF 2

Default alive or default dead?



REFLECTION 1 OF 3 · THE CONTENT

What could you apply?



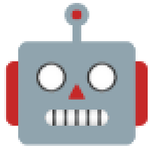
What could you apply?



What gave you a hard time?

REFLECTION 2 OF 3 · THE PROCESS

Man vs. machine



Where did AI actually help you?



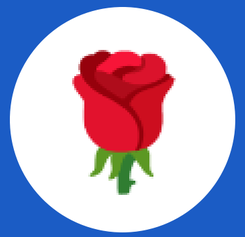
Where was your genius needed?



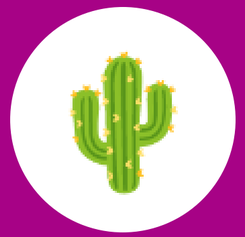
What are your best hacks to share?

REFLECTION 3 OF 3 · THE RESULTS

Rose, thorn, bud



What was the breakthrough today?



What was the hardest part today?



What is an idea/feature you didn't have time to finish, but want to explore later?

HOMEWORK UNTIL DEMO DAY

Reach €10,000 cumulative revenue from outside your social graph by Demo Day, rehearse your pitch with three outsiders who can repeat your problem and your one number, and within seven days of Demo Day write your verdict on the company with what it needs.

Floor · the Demo Day minimum, verified

€2,000

Full bar · the €10,000 club

€10,000

Ours. If on Demo Day we are default dead and our revenue of the last four weeks is no higher than the four weeks before, we stop and close the company well.

The learning floor is the Demo Day minimum of €2,000 verified with your evidence pack, one such outsider and your written verdict.

Write your company line in the Kill Criteria Log before Demo Day, or take ours.

HOMEWORK · HOW TO DO IT

Sell daily, rehearse with outsiders, then decide

1. **Write your company line today.**
2. **Sell every day.** Ask customers for referrals.
3. **Check default alive** with the calculator.
4. **Pick the money that fits.** Customers first. A grant buys time, not proof. Investors only if you could get very big, raised from strength. A patent counts as a moat once customers exist.
5. **Name your second market,** where your problem costs most. Find five people there, book one call.
6. **Rehearse with outsiders.** Five minutes in Sequoia's order, then ask them for your problem and your one number. Wrong? Rewrite your opening. Watch out. Friends nod. Pick people who could pay.
7. **Ask AI for a blind read** of your pipeline notes, names removed. Fix the pitch where it disagrees.
8. **Decide within seven days.** Your line first, then Go, Pivot or Kill (GPK).

How to do it, Homework 12. Tools, the Default Alive Calculator and the Student Toolkit.

HOMEWORK · WHAT YOU COME BACK WITH

Good is proven, repeated and decided

	GOOD	WEAK
REVENUE	€11,400 from 52 practices, on the dashboard	€9,000, €4,000 of it a favour
PITCH	Three outsiders said "call-backs" and "50 of 52 stay"	Rehearsed with each other
COMPANY	Go on, plan, angel call, group on the 14th	"We'll decide after the exams"

Sources in this deck

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See you at Demo Day!

Bring your proof.

MODULE 12 · FUNDRAISING & DEMO DAY · CASE DISCUSSION · ABOUT 90 MINUTES

Case discussion: Personio

Four Munich founders in spring 2016 decide whether to take outside money now.

01 Previously on Ambitious Entrepreneurship
02 Your presentations
03 **Size it: who funds the tail**
04 **Grow it: how big can it get?**
05 **Fund it: raise or don't**
06 **Pitch it: proof beats promises**
07 **Steer it: after Demo Day**
08 Wrap-up and check-out
09 **Case discussion**
10 Demo Day: pitch on proof, then decide

Personio: Seed Round or Another Year on Revenue

Munich, spring 2016. Take outside money now, and from whom, or keep growing on customers' money?

Read the Personio case before class.

CASE · EXHIBIT 2 AND THE STORY TO SPRING 2016

Take outside money now, or another year on revenue?

2015

Four founders who met at the CDTM

Munich's Center for Digital Technology and Management. HR software, a pilot phase

Sep 2015

From EUR 59 and 99 a month

German and English, no minimum term

Jan 2016

10 customers

About 20 at the start of 2016 by another count

Early 2016

Goal: the leading solution in Europe

For small and mid-sized firms, set in a workshop, recalled in 2021

Spring 2016

Eight employees grown on revenue

Founders unpaid by Forstmeier's account, looking for investors

CASE · VOTE 1 OF 2

It is spring 2016. Do you take outside money now?

OPTION 1

Raise now

OPTION 2

Another year on revenue

OPTION 3

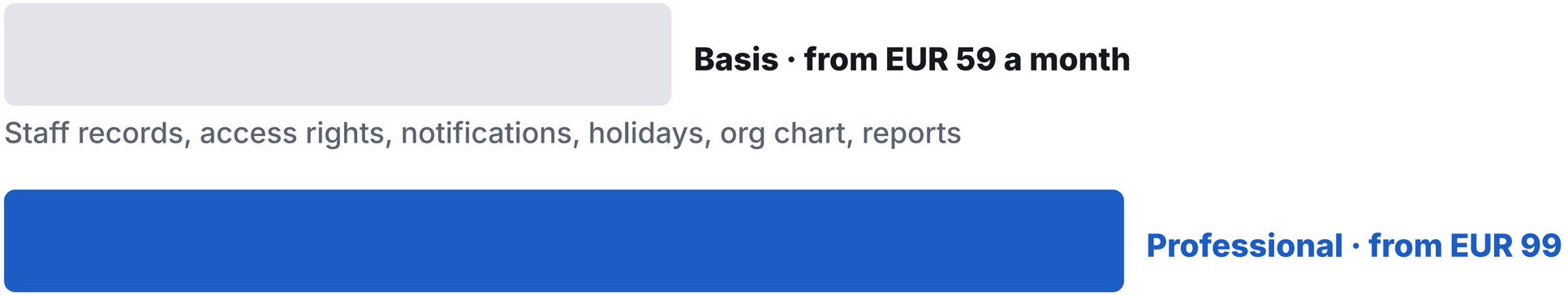
Raise only from investors who back the broad product

WORKING ALONE? **Pick one and write three lines on why, with evidence from the case**

DATA Personio case, closing. Option 3 is the room's, not documented as the founders'.

CASE · EXHIBIT 1 · SEPTEMBER 2015

Two plans, from EUR 59 and 99 a month



Basis · from EUR 59 a month

Staff records, access rights, notifications, holidays, org chart, reports

Professional · from EUR 99

Adds documents, performance, onboarding, time tracking, applicants

Priced by employees in ten bands up to 500. No setup fee, no minimum term

DATA Personio case, Exhibit 1, from the Personio price page archived 18 September 2015. Bars to scale.

CASE · THE BOARD PLAN

Evidence left, the two paths in the middle, investors right

The evidence

Revenue side: prices, customers, prepayments

Cost side: eight employees, founders unpaid, no marketing budget

Unknown: revenue, cash, costs

	Raise now	Another year on revenue
Growth		
Founders' pay		
Control of the product		
Time fundraising takes		
The European goal		

From whom

A narrower product

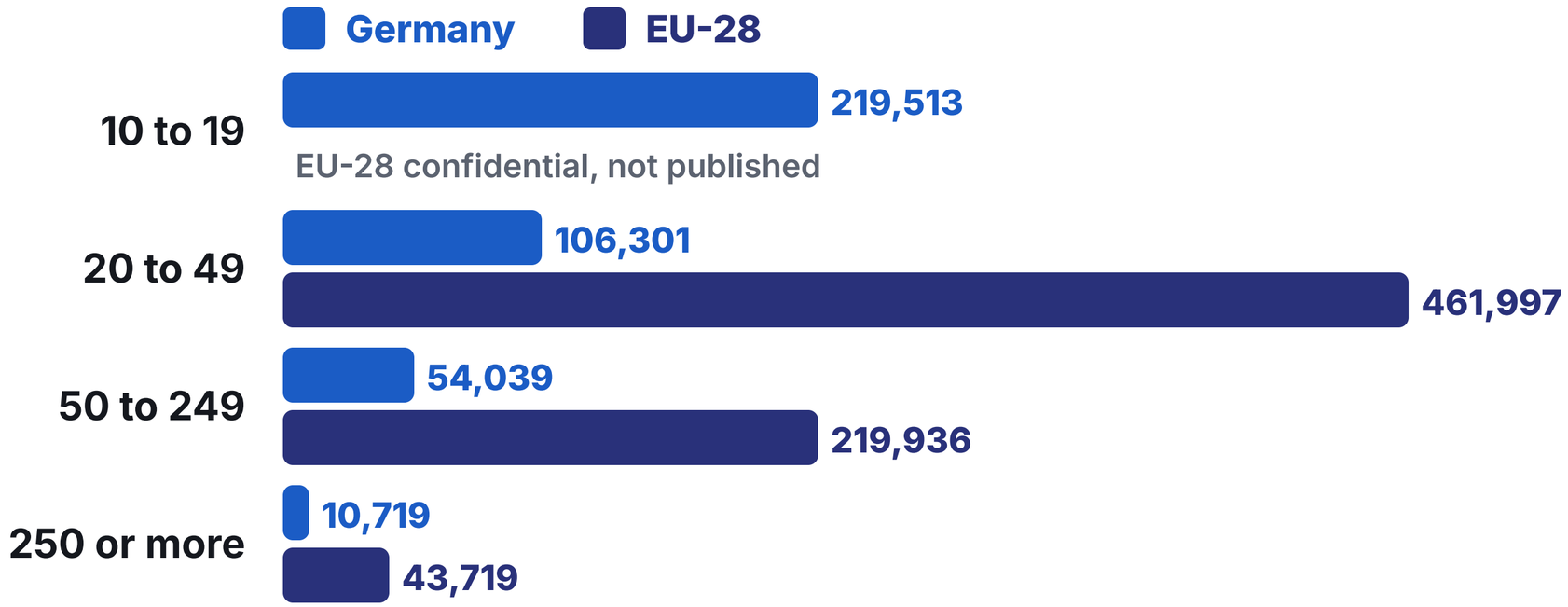
The broad product

Speed

CASE · EXHIBIT 3 · ENTERPRISES BY PEOPLE EMPLOYED, 2013

Germany has about a quarter of the EU-28's firms with 20 to 249 people

How big the European goal was



DATA Personio case, Exhibit 3, Eurostat structural business statistics, 2013. Bars to scale.

CASE · VOTE 2 OF 2

Same question, after the discussion. Do you take outside money now?

OPTION 1

Raise now

OPTION 2

Another year on revenue

OPTION 3

Raise only from investors who back the broad product

DATA Personio case, closing. Option 3 is the room's, not documented as the founders'.

CASE · BRIDGE

Your money question, before Demo Day



Are you default alive with the pay you need? Which money fits? Write it into your Team sheet's Money row.

See you at Demo Day!

Bring your proof, and your money decision.

MODULE 12 · DEMO DAY · 90 MINUTES

Demo Day: pitch on proof, then decide

Pitch your venture on proof, then decide what comes next for your company.

01 Previously on Ambitious Entrepreneurship
02 Your presentations
03 **Size it: who funds the tail**
04 **Grow it: how big can it get?**
05 **Fund it: raise or don't**
06 **Pitch it: proof beats promises**
07 **Steer it: after Demo Day**
08 Wrap-up and check-out
09 Case discussion
10 **Demo Day: pitch on proof, then decide**

Demo Day

Can you tell the story, and show the money?

Steps and what good looks like in the Demo Day guide.

THE BAR FOR DEMO DAY

Reach €10,000 cumulative revenue from outside your social graph by Demo Day, rehearse your pitch with three outsiders who can repeat your problem and your one number, and within seven days of Demo Day write your verdict on the company with what it needs.

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DEMO DAY · STEP 1 OF 3

Put your proof on screen

1 STEP 1 · 10 MIN

PUT YOUR PROOF ON SCREEN

Every claim can be checked on the spot

- → Load your deck, ten slides in Sequoia's order
- → Open your proof, dashboard or numbered invoices
- → Write your one number on a card
- → Show the jury your Toolkit on request

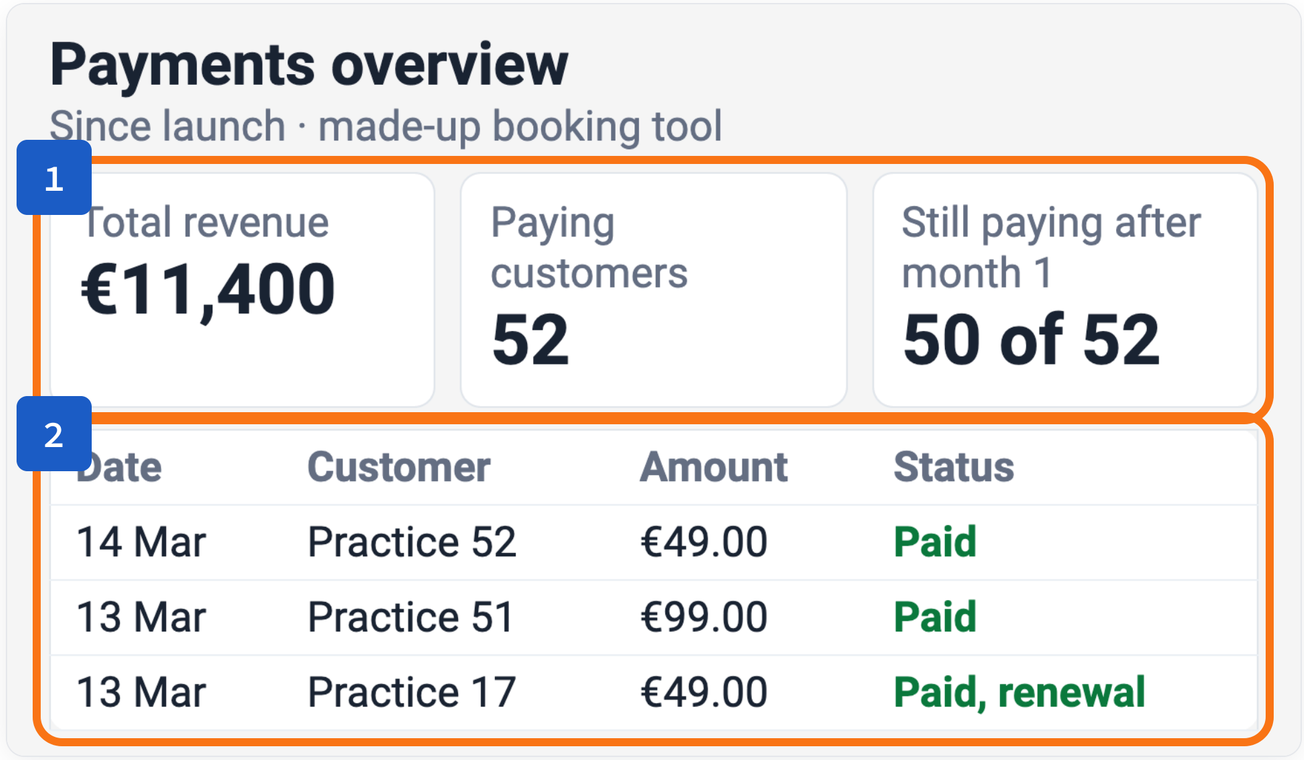
Output Deck, proof and your one number, ready

Minutes 10

10:00

DEMO DAY · STEP 1 · PROOF ON SCREEN

Show the totals, hide the names



1. **The total from outside your social graph, and your one number**
2. **Each payment, names hidden**

Weak is "The screenshot is on my phone somewhere"

ILLUSTRATIVE A prototyped screen of a made-up booking tool, no real product. Numbers as in the homework's made-up team.

ARRIVED EMPTY-HANDED?

No revenue? Pitch what you tested and killed



A well-argued kill can earn an A. No company line? Write one now.

DEMO DAY · STEP 2 OF 3

Pitch on proof

2 STEP 2 · 50 MIN

PITCH ON PROOF

Five minutes a stranger can repeat, then honest answers

- → Open with the problem in a customer's words
- → Say why now, your bet on five years out
- → Show the proof, then your one number
- → Stop at five minutes, answer for five
- → Note each question you could not answer

Output Pitch given, open questions noted

Minutes 50

50:00

DEMO DAY · STEP 3 OF 3

Decide what comes next

3 STEP 3 · 30 MIN

DECIDE WHAT COMES NEXT

The course ends. Your company decides whether it does

- → Read your company line. Crossed? Act on it
- → Draft your verdict, Go, Pivot or Kill
- → Going on? Write the plan in your Team sheet
- → Book your next outside meeting now
- → Set your group's next date in the tracker

Output Verdict drafted, meeting booked, group date set

Minutes 30

30:00

You are an entrepreneur. Show the world what you are capable of

See you on the other side!

Best, Basti